Capital Power



**Defensive Portfolio**

**Sector: Power & Utilities – Independent**

**Ticker: CPX (TSX)**

**BUY Recommendation**

**Price Target: C$75.00 (+22.25%)**

**Current Price: C$61.20 (03/23/2026)**

# Recommendation

UR Investing

We issue a **BUY** recommendation with a target price of **$75.00**, representing a **22.25%** upside.

**1**

**Balanced contracting model supports stable cash flows and merchant upside.**

**2**

**Flexible gas-fired fleet is positioned for rising dispatchable power demand.**

**3**

**AFFO growth and dividends support an attractive hybrid growth-and-income profile.**

**BUY**

**22.25% upside**

**Target Price:**

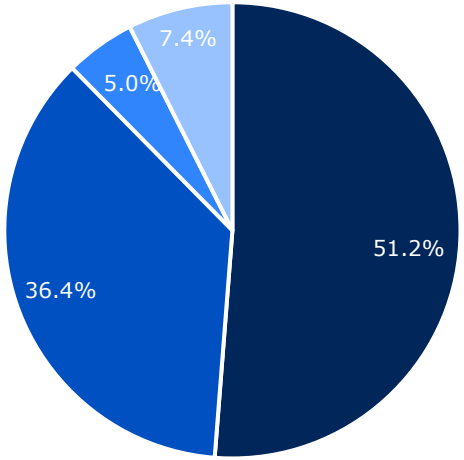
**$75.00**

# Business Overview

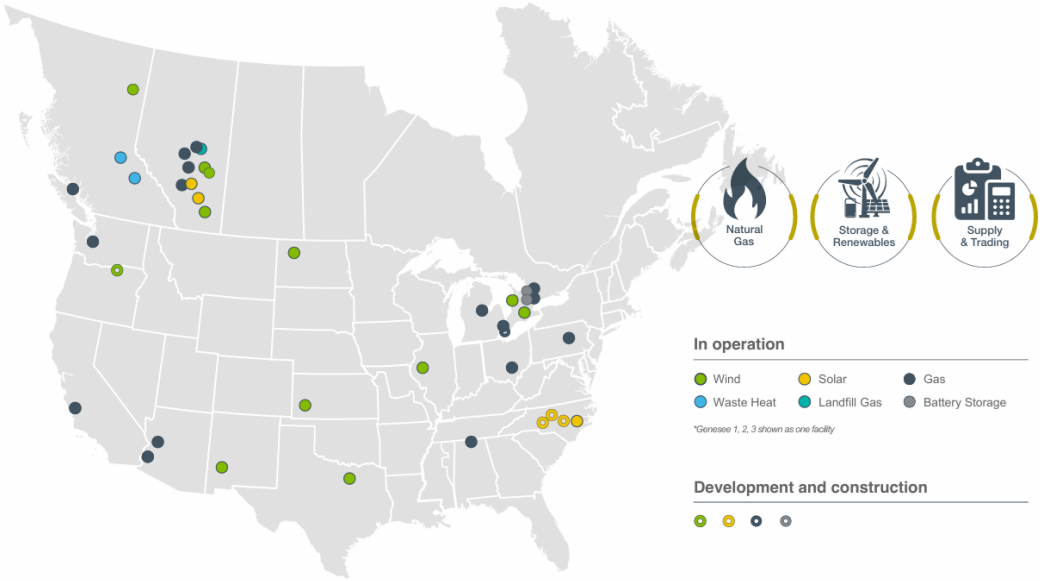
UR Investing

Capital Power Corporation is one of North America's leading independent power producers headquartered in Edmonton, Alberta, with approximately 12 GW of generation capacity across 35 facilities

**Portfolio Composition**




- U.S. Flexible Generation: 6.2 GW
- Canada Flexible Generation: 4.4 GW
- U.S. Renewables: 0.6 GW
- Canada Renewables: 0.9 GW




CPX operates a diversified 12 GW North American portfolio, with flexible generation representing the core of the business. This asset mix provides geographic diversification, contracted cash flow stability, and exposure to rising demand for reliable, dispatchable power.



# Industry Overview

Capital Power

# Industry Drivers

UR Investing

**Electricity Demand Growth**

**Rising Value of Reliable, Dispatchable Generation**

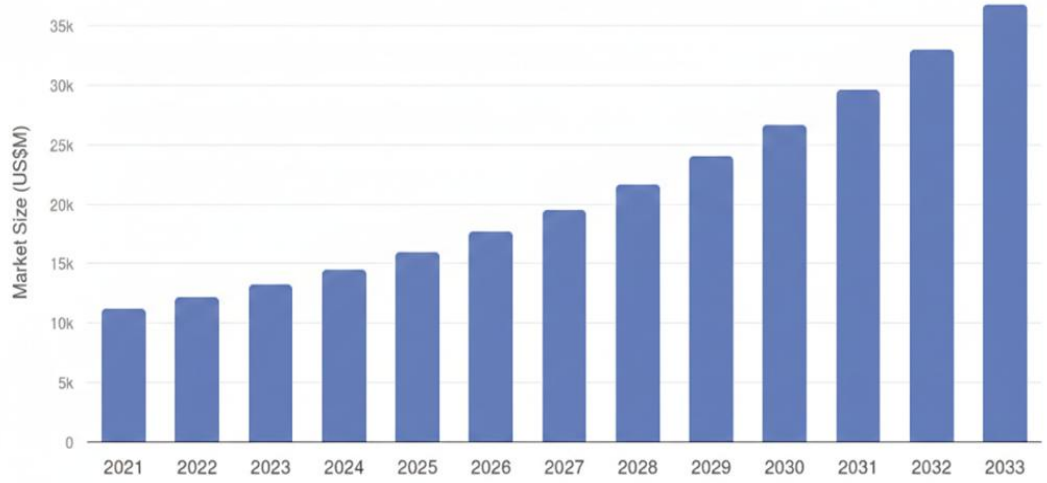
**Improving Alberta and U.S. Market Fundamental**

**Electrification:** Power demand is rising as more end uses shift from fossil fuels to electricity

**Industrial Reshoring:** Manufacturing and industrial investment are adding incremental large-load demand.

**Data Center / AI Load Growth:** Rapid data center expansion is emerging as a major source of electricity demand growth in both Alberta and U.S. markets

**Canadian Data Centre Market, 2021-2033**




Rapid AI growth is increasing demand for reliable electricity, which supports the long-term value of CPX's flexible generation assets

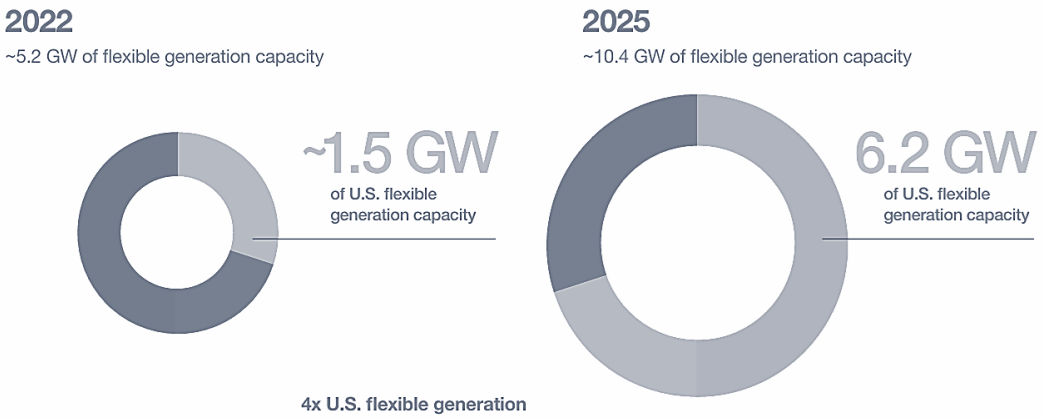
# Industry Drivers

UR Investing

**Electricity Demand Growth**

**Rising Value of Reliable, Dispatchable Generation**

**Improving Alberta and U.S. Market Fundamental**




- **Grid reliability needs are increasing** as demand rises and power systems become more complex.
- **Renewable intermittency supports demand for dispatchable generation** that can balance supply and maintain stability
- **CPX has significantly expanded its flexible generation portfolio**, positioning the company to benefit from rising demand for reliable power

# Industry Drivers

UR Investing

**Electricity Demand Growth**

**Rising Value of Reliable, Dispatchable Generation**

**Improving Alberta and U.S. Market Fundamental**

**CPX is already converting stronger market conditions into contracted opportunities**

- **Alberta Demand Is Becoming Commercially Relevant**

CPX signed a binding memorandum for a 50 MW, 10+ year Alberta energy supply agreement with an investment-grade data-centre developer, expected to begin in 2028

- **U.S. Recontracting Can Create Meaningful Value**

CPX extended MCV's power purchase agreement to 2040, securing 1,240 MW under contract and an estimated US140M of incremental adjusted EBITDA





# Thesis #1:

*Balanced Contracting Philosophy: Predictable Cash Flows with Merchant Upside*

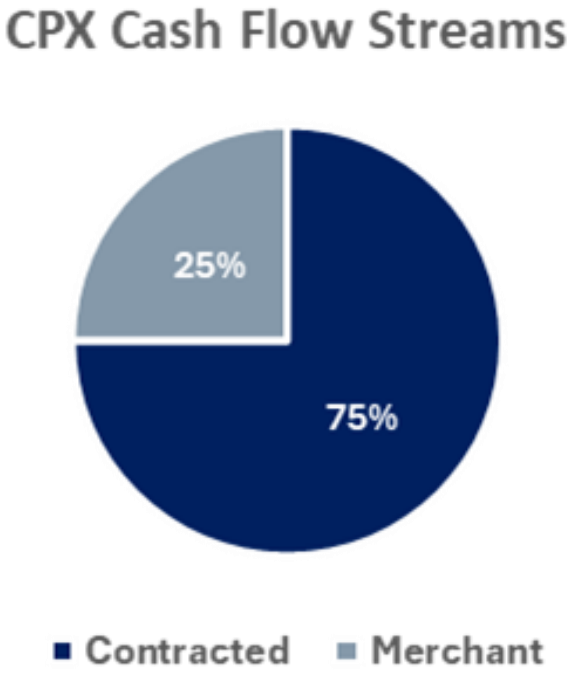
# Thesis #1

UR Investing

*Balanced Contracting Philosophy: Predictable Cash Flows with Merchant Upside*

## CONTRACTED

- Long-term contracts with IG counterparties, such as 90% A-rated power purchase agreement (PPA) providers
- Stable cash flows through extended tenors that extend well into the 2030s and 2040s
- Downside protection via fixed capacity payments and tolling, even as Alberta power prices averaged $31/MWh YTD 2026 (vs. $41 prior year).




## MERCHANT

- Spot-exposed fleet positioned to capture upside from spark spread expansion without equity dilution
- $350-650M incremental EBITDA potential from 10-20 $/MWh uplift
- Coal retirements and data center demand signal normalization back toward $50, $60, or higher.

Sources: Investing.com

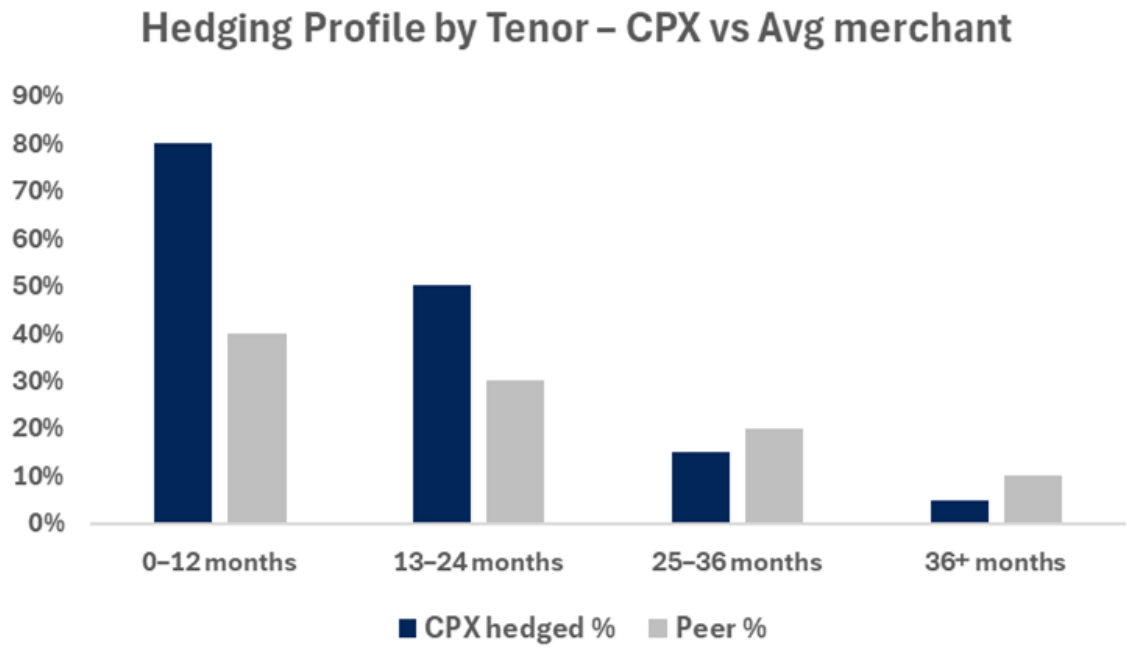
# Thesis #1

UR Investing

*Balanced Contracting Philosophy: Predictable Cash Flows with Merchant Upside*

**Avoid over-hedging long-dated volumes where uncertainty is highest, and price spikes could erode returns**

**Enable reliable cash flows to fund U.S. growth and 12 consecutive years of dividend increases (6% CAGR)**




Sources: Bloomberg Terminal



# Thesis #2:

*CPX's Gas-Heavy Flexible Generation Fleet Is Strategically Positioned To Benefit From Rising Demand For Reliable, Dispatchable Power*

# Thesis #2

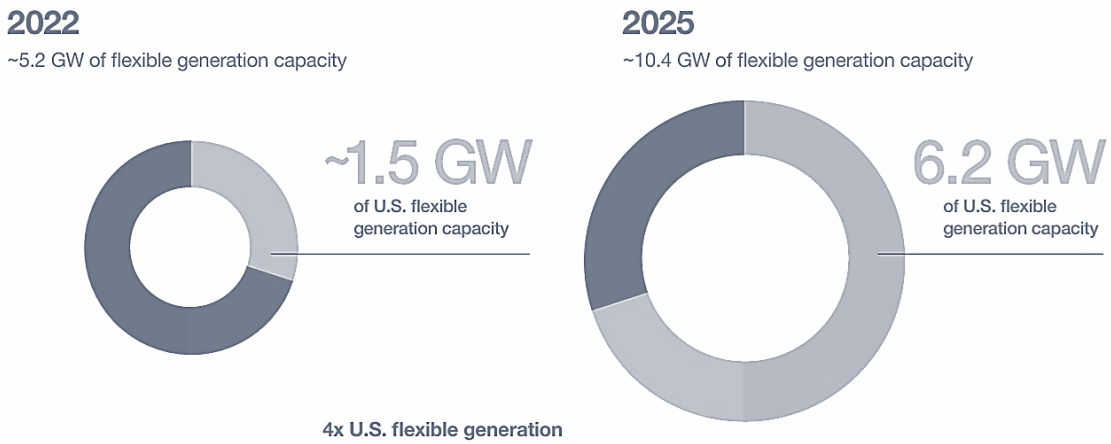
UR Investing

*Flexible generation is positioned to benefit from rising demand for reliable, dispatchable power*

- **Reliability and firm capacity are becoming more valuable** as power systems prioritize stability and flexibility.

- **Flexible gas-fired assets can respond quickly to demand fluctuations** and help balance intermittent renewable supply.

- **CPX is directly exposed to this trend** through its growing flexible generation portfolio in Alberta and the U.S.





# Thesis #3:

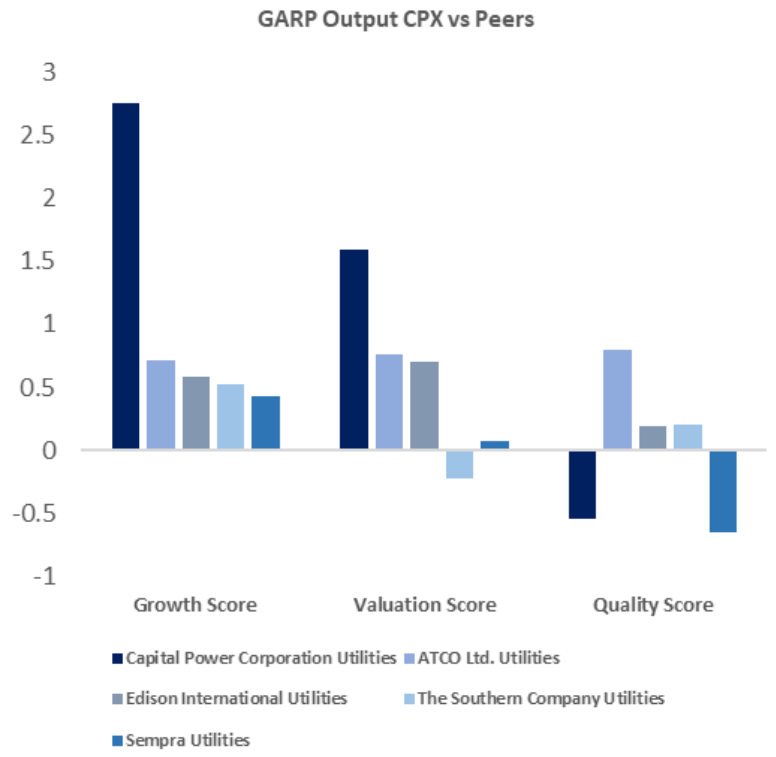
*CPX's Business Nature Satisfies Multiple Criteria Of The Defensive Portfolio And UR Investing*

# Thesis #3

UR Investing

*CPX's Business Nature Satisfies Multiple Criteria Of The Defensive Portfolio And UR Investing*

**CPX dominates peers across North America in meeting weighted GARP criteria**




**Dividends consume only 30–50 percent of AFFO and have a long-term guidance of 2%-4% increase**





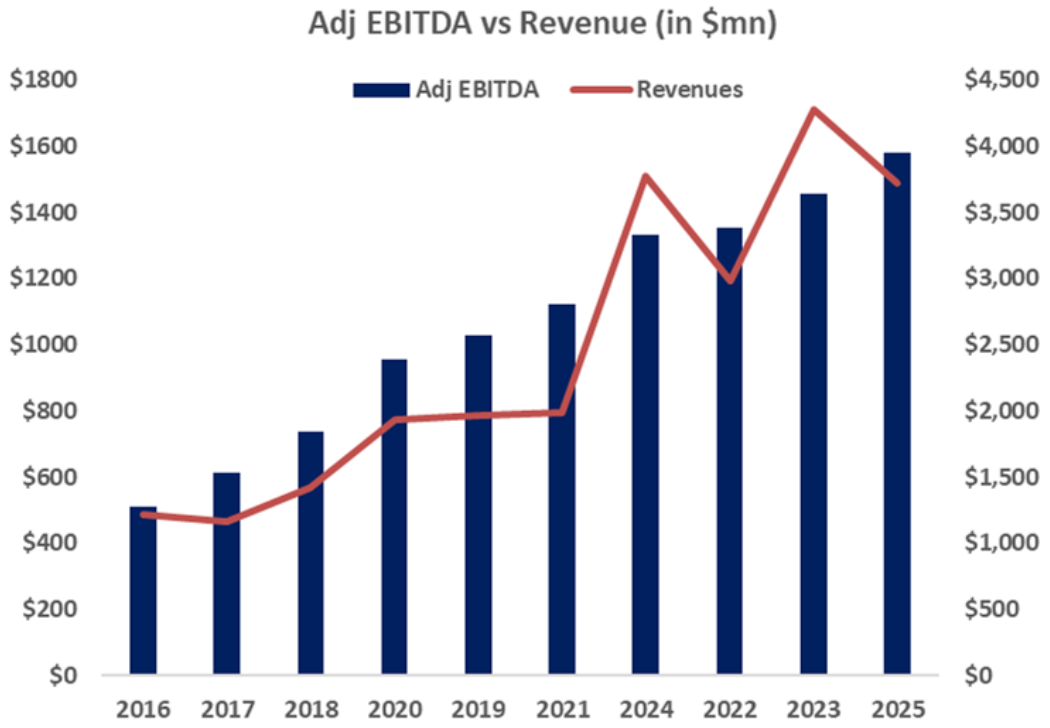
# Financial Analysis

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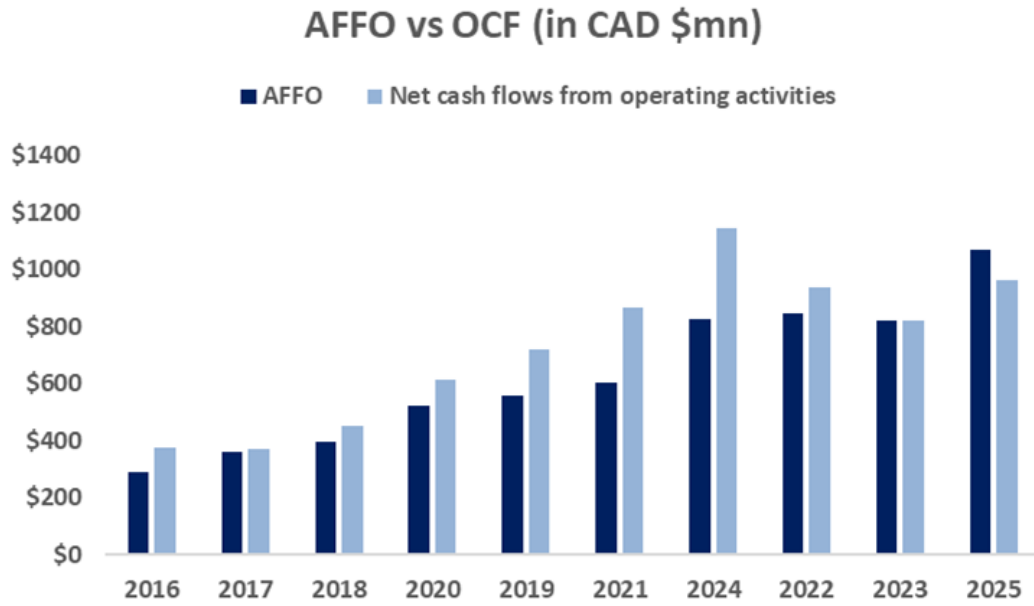
UR Investing

## Operating Performance

**Revenue is somewhat driven by gas price swings, while Adj EBITDA growth is maintained by strategic hedging**




**AFFO is positive overall and is not affected by changes in non-cash items like derivative positions**



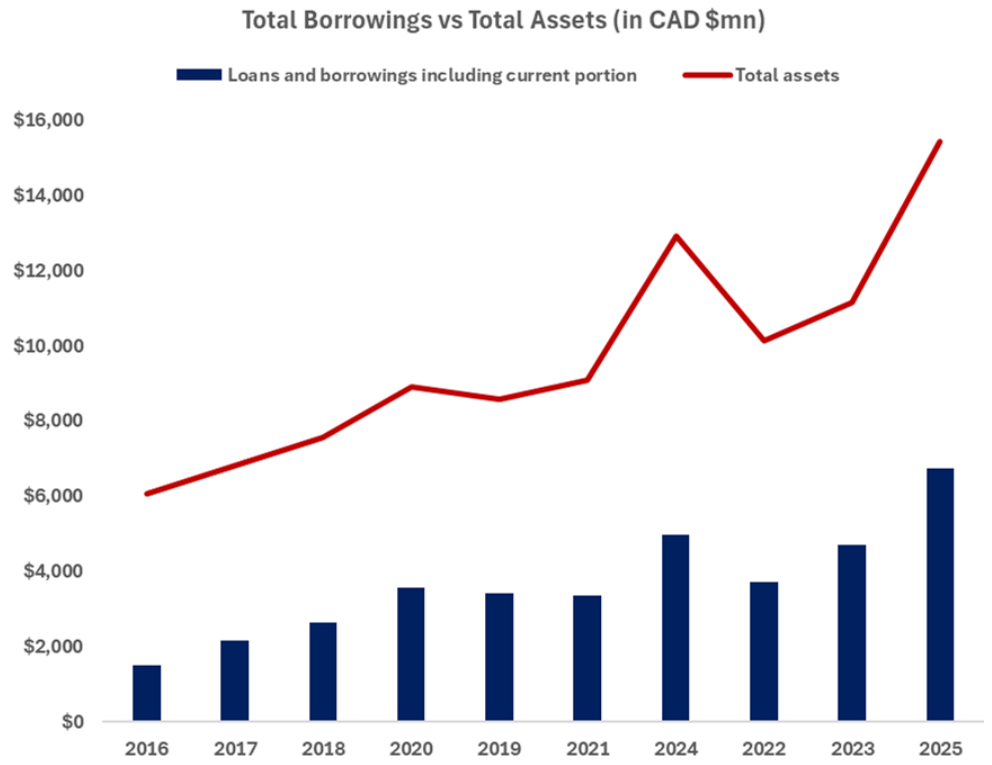

Source: Bloomberg, Financial Analysis

# Financial Analysis

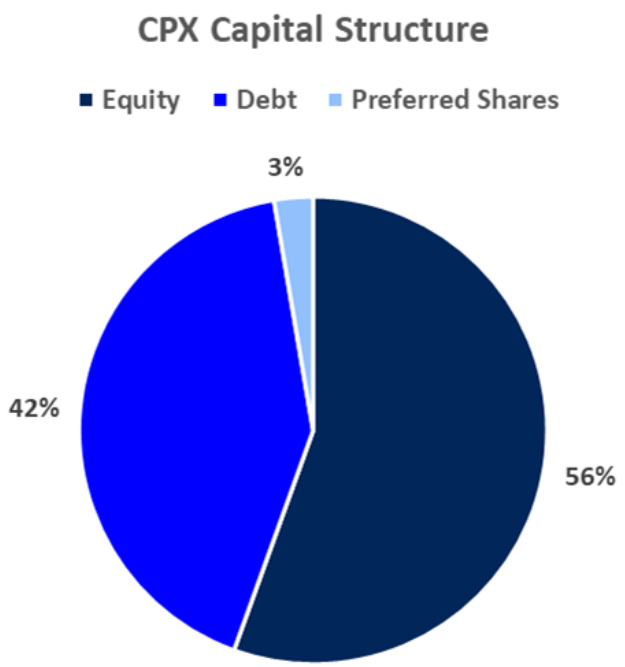
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## Balance Sheet and Capital Structure

**Increased borrowings in 2025 to fund U.S. expansions like Hummel Station and Rolling Hills, supported by stronger cash generation**




**Preferreds let Capital Power fund growth at intermediate cost (~5%) without eroding common shareholders' control or upside. Strategic staple for utilities companies.**




Source: Bloomberg, Financial Analysis



# Valuation

# Sum-of-the-Parts Valuation

UR Investing

Segment-level valuation captures CPX's diversified portfolio and embedded growth

- **Why SOTP?** CPX's segments differ by contract structure, cash flow visibility, growth profile, and geography.
- **Why Segment multiples?** Flexible generation and renewables warrant different valuation treatment based on earnings quality and growth prospects

| *(In millions of Canadian Dollars)* Capital Power Corp. Segment EBITDA | 2027E | EV/EBITDA Multiple 2026 | Implied Enterprise Value |
|---|---|---|---|
| Canada Flexible Generation (Gas, BESS) | 771 | **12.09x** | 9,317 |
| Canada Renewables | 122 | **9.13x** | 1,117 |
| U.S. Flexible Generation (Gas) | 887 | **11.39x** | 10,106 |
| U.S. Renewables | 118 | **9.13x** | 1,077 |
| Corporate | -169 | **10.25x** | -1,728 |
| **Adjusted EBITDA** | 1,730 | | |

**We apply peer-derived forward EV/EBITDA multiples to segment EBITDA to reflect the differing cash flow, risk, and growth profiles across CPX's portfolio.**

## Equity Value Bridge

| Target Price Derivation | Target NAV Estimate ($mm) | ($/Share) |
|---|---|---|
| Canada Flexible Generation (Gas, BESS) | 9,317 | $59.88 |
| Canada Renewables | 1,117 | $7.18 |
| U.S. Flexible Generation (Gas) | 10,106 | $64.95 |
| U.S. Renewables | 1,077 | $6.92 |
| Corporate | -1,728 | -$11.10 |
| AB Gov't Cash Compensation | 230 | $1.48 |
| Total NAV: | 20,120 | $129.30 |
| | | |
| Less: Net Debt | -6,765 | $ (43.48) |
| Less: Non-Controlling Interest | 8 | $ 0.05 |
| Less: Preferred shares | -453 | $ (2.91) |
| | -7210 | $ (46.34) |
| | | |
| Total Equity Value: | **$12,909.51** | **$82.97** |
| | | |
| **Capital Power Target Price** | **$83** | |

**SOTP highlights that CPX's flexible generation portfolio drives the majority of value, supporting our view that the market is undervaluing the company's medium-term earnings potential.**

Source: Bloomberg, Company filings, Team analysis

# Discounted Cashflow Valuation

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10-year DCF with a WACC of 7.6%, yielding a price of $77, implying an upside of 25.8%

## Perpetuity Method - Base

| | |
|---|---|
| ***Terminal Value*** | |
| Expected Long-Term GDP Growth: | 2.0% |
| Baseline Terminal FCF Growth Rate: | 0.5% |
| Baseline Terminal Value: | 20,761 |
| Implied Terminal EBITDA Multiple: | 12.7x |
| (+) PV of Terminal Value: | 10,013 |
| (+) PV of UFCFs: | 9,306 |
| ***Implied Enterprise Value:*** | ***19,319*** |
| *% of Implied TEV from Terminal Value:* | |
| (+) Cash & Investments: | 119 |
| (-) Debt & Finance Leases: | (6,884) |
| (-) Preferred Stock: | (453) |
| (-) Operating Leases: | |
| (-) Noncontrolling Interests: | 16 |
| ***Implied Equity Value:*** | ***11,998*** |
| Diluted Shares Outstanding: | 155.8 |
| ***Current Share Price*** | ***$61.20*** |
| ***Implied Share Price from DCF:*** | ***$77.01*** |
| ***Premium / (Discount) to Current:*** | ***25.8%*** |

### DCF using Funds from Operations

**Growth assumptions**

- Growth assumptions are calibrated to facility types and management's reiterated 2026 guidance ($1,565-1,765M total)
- Contracted: Assume recontracting for near-term expiries, straightforward predicted revenues.
- Merchant: Assume stable-to-rising AECO gas prices with widening spark spreads (10-20 $/MWh upside potential at 85% capacity factor

**Sensitivity Analysis**

| WACC \ Terminal Growth Rate | $77.01 | -0.75% | -0.50% | -0.25% | 0.00% | 0.25% | 0.50% | 0.75% | 1.00% | 1.25% | 1.50% | 1.75% |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 6.31% | 87.82 | 90.62 | 93.64 | 96.89 | 100.42 | 104.24 | 108.41 | 112.98 | 117.99 | 123.52 | 129.67 |
| | 6.56% | 83.00 | 85.56 | 88.31 | 91.26 | 94.45 | 97.90 | 101.64 | 105.73 | 110.20 | 115.10 | 120.52 |
| | 6.81% | 78.51 | 80.85 | 83.35 | 86.04 | 88.93 | 92.05 | 95.43 | 99.10 | 103.10 | 107.47 | 112.28 |
| | 7.06% | 74.31 | 76.45 | 78.74 | 81.19 | 83.82 | 86.66 | 89.71 | 93.02 | 96.61 | 100.53 | 104.81 |
| | 7.31% | 70.37 | 72.34 | 74.44 | 76.68 | 79.08 | 81.65 | 84.43 | 87.42 | 90.66 | 94.18 | 98.01 |
| | 7.56% | 66.67 | 68.48 | 70.41 | 72.46 | 74.66 | **77.01** | 79.53 | 82.25 | 85.18 | 88.35 | 91.79 |
| | 7.81% | 63.18 | 64.85 | 66.63 | 68.52 | 70.53 | 72.68 | 74.98 | 77.45 | 80.11 | 82.98 | 86.09 |
| | 8.06% | 59.90 | 61.44 | 63.08 | 64.82 | 66.66 | 68.64 | 70.74 | 73.00 | 75.42 | 78.02 | 80.83 |
| | 8.31% | 56.80 | 58.23 | 59.74 | 61.34 | 63.04 | 64.85 | 66.78 | 68.84 | 71.05 | 73.42 | 75.97 |
| | 8.56% | 53.86 | 55.19 | 56.59 | 58.07 | 59.64 | 61.30 | 63.08 | 64.97 | 66.99 | 69.15 | 71.47 |
| | 8.81% | 51.08 | 52.31 | 53.61 | 54.98 | 56.43 | 57.97 | 59.60 | 61.34 | 63.19 | 65.17 | 67.29 |

Source: Bloomberg, Company filings, Team analysis

# Discounted Dividend Valuation

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Brief DDM model to gauge value using the dividends paid out by CPX, modest value due to modest payout

**Sensitivity Analysis - Base Case**

| COE % \ Terminal Growth Rate | $64.71 | 0.75% | 1.00% | 1.25% | 1.50% | 1.75% | 2.00% | 2.25% | 2.50% | 2.75% | 3.00% | 3.25% |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 9.54% | 68.29 | 69.65 | 71.10 | 72.64 | 74.28 | 76.03 | 77.90 | 79.90 | 82.04 | 84.35 | 86.85 |
| | 9.79% | 66.27 | 67.54 | 68.89 | 70.31 | 71.82 | 73.43 | 75.15 | 76.98 | 78.95 | 81.06 | 83.33 |
| | 10.04% | 64.39 | 65.57 | 66.81 | 68.13 | 69.53 | 71.02 | 72.60 | 74.29 | 76.09 | 78.02 | 80.09 |
| | 10.29% | 62.61 | 63.71 | 64.87 | 66.10 | 67.39 | 68.77 | 70.23 | 71.78 | 73.44 | 75.21 | 77.11 |
| | 10.54% | 60.95 | 61.97 | 63.05 | 64.19 | 65.40 | 66.67 | 68.02 | 69.46 | 70.98 | 72.61 | 74.35 |
| COE % | 10.79% | 59.38 | 60.34 | 61.34 | 62.40 | 63.52 | **64.71** | 65.96 | 67.29 | 68.70 | 70.20 | 71.80 |
| | 11.04% | 57.90 | 58.80 | 59.74 | 60.73 | 61.77 | 62.87 | 64.03 | 65.26 | 66.57 | 67.95 | 69.43 |
| | 11.29% | 56.51 | 57.35 | 58.23 | 59.15 | 60.12 | 61.15 | 62.23 | 63.37 | 64.58 | 65.86 | 67.22 |
| | 11.54% | 55.20 | 55.98 | 56.80 | 57.67 | 58.58 | 59.53 | 60.54 | 61.60 | 62.72 | 63.91 | 65.17 |
| | 11.79% | 53.95 | 54.69 | 55.46 | 56.27 | 57.12 | 58.01 | 58.95 | 59.94 | 60.98 | 62.09 | 63.25 |
| | 12.04% | 52.78 | 53.47 | 54.19 | 54.95 | 55.74 | 56.58 | 57.46 | 58.38 | 59.35 | 60.38 | 61.46 |

| Terminal Value - Base | | |
|---|---|---|
| 2036 DPS Growth | | 8.66 |
| Ke - Growth Rate | | 8.79% |
| Terminal Value | | 98.53 |
| Present Value | | 36 |
| **Current Share Price:** | **$** | **61.20** |
| ***Implied Share Price:*** | **$** | **64.71** |
| ***Implied Upside:*** | | ***5.4%*** |

**DDM with 2% terminal growth rate and 10.8% Cost of Equity**

**Assumptions**

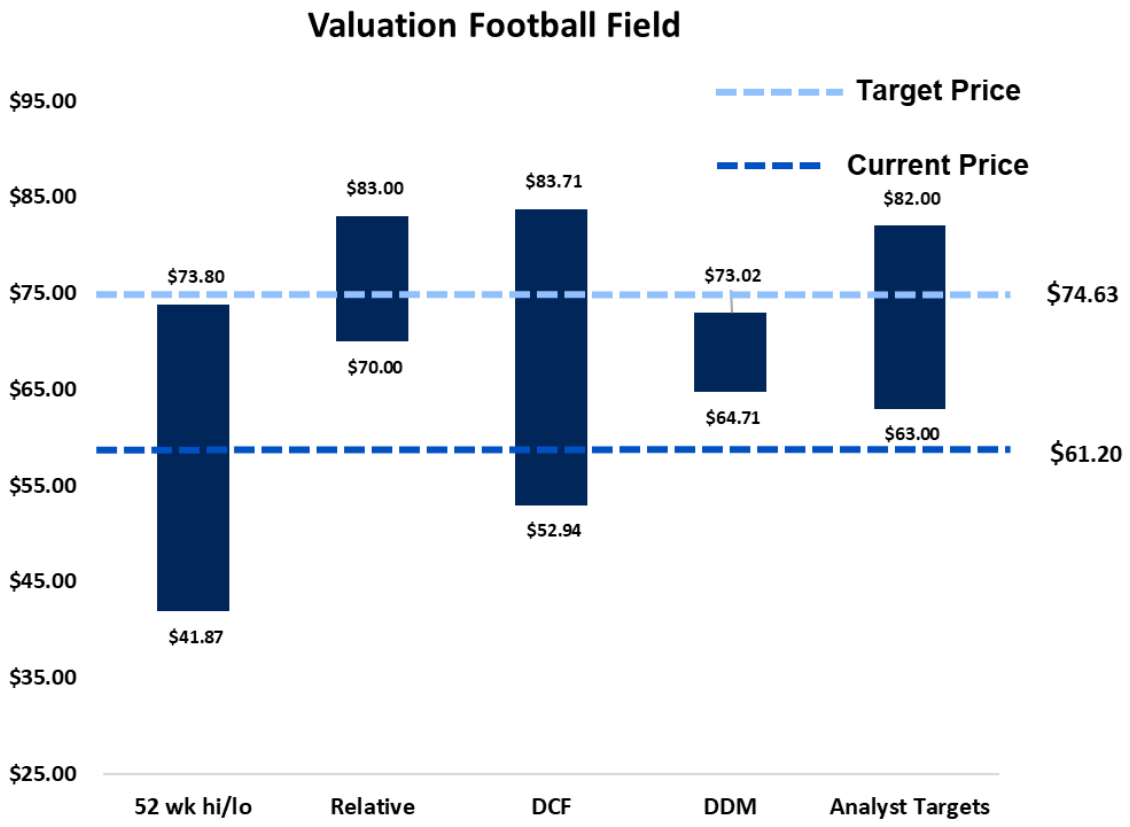
- Long-term guidance includes 2-4% annual dividend increases, supported by 13-15% total shareholder return targets through U.S. growth.
- 8-10% AFFO per share compound annual growth rate to 2030
- Given the low 30-50% AFFO payout ratio, CPX can maintain a conservative 2% growth rate in the terminal years. As the business transitions to a mature and stable stage, its strong cash flow generation will support this growth assumption.

| Terminal Value - Bull | | |
|---|---|---|
| 2036 DPS Growth | | 9.21 |
| Ke - Growth Rate | | 7.79% |
| Terminal Value | | 118.18 |
| Present Value | | 44 |
| **Current Share Price:** | **$** | **61.20** |
| ***Implied Share Price:*** | **$** | **73.02** |
| ***Implied Upside:*** | | ***16.2%*** |

Source: Bloomberg, Company filings, Team analysis

# Valuation Summary & Price Target

We value CPX using a blended approach that combines DCF, SOTP, and DDM to derive a target price of $75, representing an upside of 22.25% from the current price of $61.20.




**1-Year Target Price:**

**$75.00**

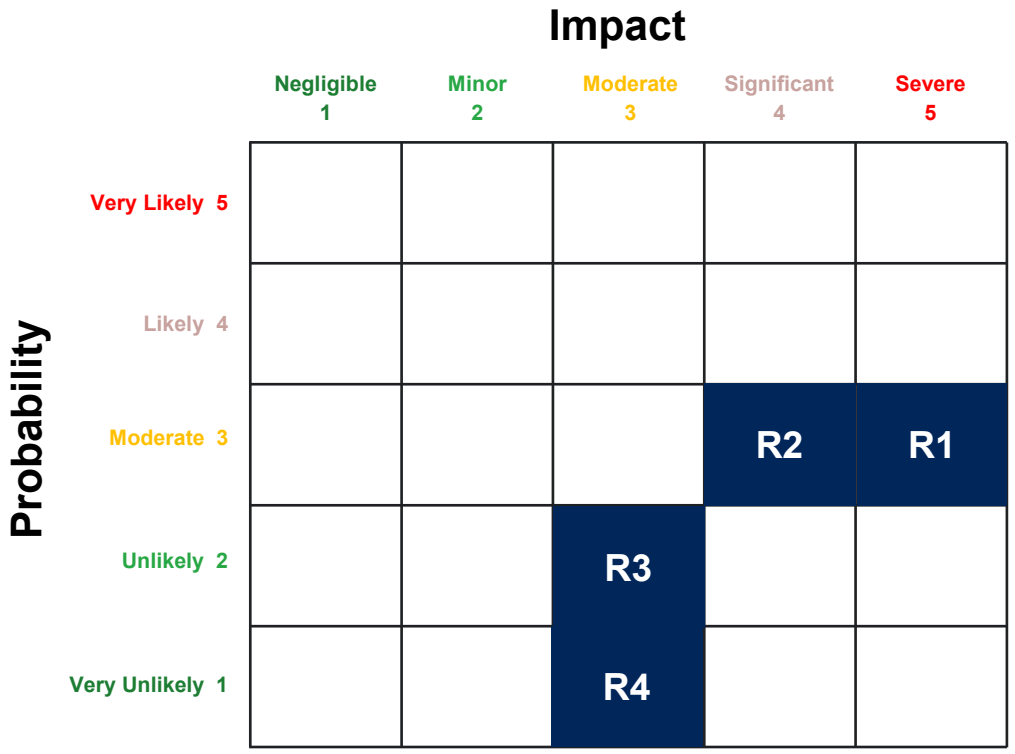
**Implied upside: +22.25%**




Source: Bloomberg, Company filings, Team analysis

# Investment Risks

UR Investing




| | |
|---|---|
| R1 | Merchant Power Price and Recontracting Risk |
| R2 | Market Design and Regulatory Risk |
| R3 | Execution, Capital Allocation, and Financing Risk |
| R4 | PJM Market Segmentation Risk |

Source: Team Analysis

Capital Power



**Defensive Portfolio**

**Sector: Power & Utilities – Independent**

**Ticker: CPX (TSX)**

**BUY Recommendation**

**Price Target: C$75.00 (+22.25%)**

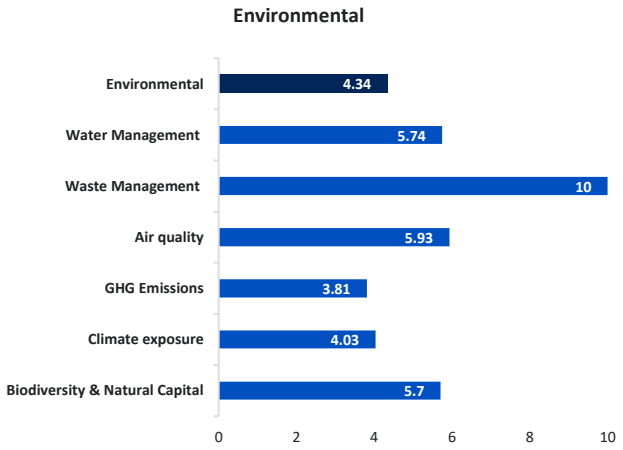
**Current Price: C$61.20 (03/23/2026)**

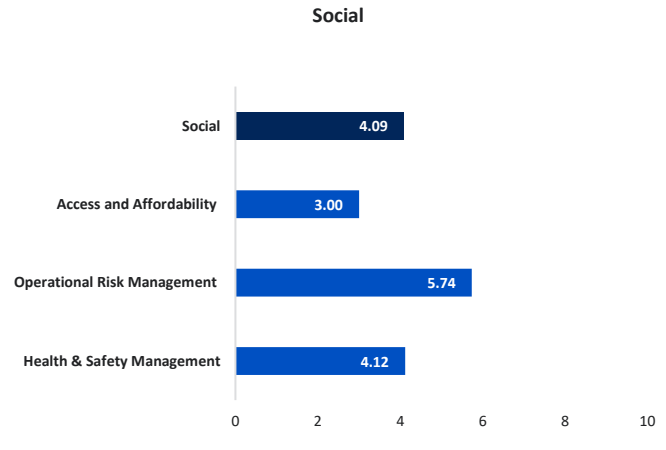


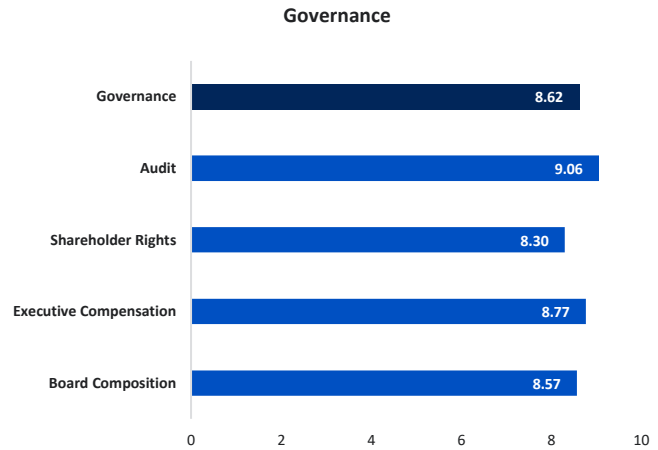
# ESG Analysis

# ESG Analysis

UR Investing




***Overall ESG View***

Overall, CPX's ESG profile appears balanced, with a Bloomberg ESG score of **5.31** and a **Leading** peer ranking. Governance represents a clear strength, while environmental factors remain the most material area of risk despite improving trends. As a result, we do not view ESG as a major impediment to the investment thesis, though environmental performance and transition-related execution will remain important areas to monitor over time.

Source: Bloomberg, Company Filings

# Appendix 1: Valuation Weights

| Valuation Summary | | |
|---|---|---|
| **Valuation Technique** | **Weights** | **Price (USD)** |
| DCF - Base | 25% | $77.01 |
| DCF - Bear | 20% | $52.94 |
| DCF - Bull | 20% | $83.71 |
| Relative Valuation - SOTP | 25% | $82.97 |
| DDM | 10% | $73.02 |
| | **Current Price** | **$61.20** |
| | ***Target Price*** | ***$74.63*** |
| | ***Target Upside/Downside*** | ***21.9%*** |

# Appendix 2: Adj EBITDA assumptions

## Assumptions - Financial Estimates

**ıada flexible generation**

Management guiding to roughly flat performance near $725–$749M through 2027, as weak Alberta prices offset Genesee repowering bene

2026 guidance flags about a 40% increase in outage days for this segment, implying near term EBITDA headwinds

Optimization and potential Alberta data center offtake (including a 250 MW ESA MOU starting 2028), slower growth and back to CAGR when reaching terminal years

**Canada renewables**

Guided to recover to ~$146M in 2026 and $163M in 2027 as new projects (e.g., Halkirk 2, solar VPPAs) contribute for a full year, kept below that range to be more conservative

Management's 2026 targets include continued construction of Ontario growth projects and exploration of additional renewables, but these are a modest share of total growth versus gas and optimization

**U.S. flexible generation**

Main growth engine: EBITDA rose from $554M in 2024 to $790M in 2025, 2026 &2027 are driven by Hummel/Rolling Hills, La Paloma/Harquahala, and Arlington Valley uprates.

CPX targets ~3.5 GW additional U.S. capacity by 2030 (about a 50% increase versus the current ~6.5–7 GW), with 65% of its 25 GW pipeline in M&A and the balance in fleet optimization, we estimate it will support 8% growth from 2028 though 2030 and slower there after

U.S. recontracting alone (MCV done, Decatur/AV/Harquahala/La Paloma ahead) is adding roughly $225–300M of incremental EBITDA over time, most of it falling into this segment

**U.S. renewables**

Management's growth plan includes only about 1 GW of greenfield renewables and storage to 2030, so this segment grows, but at a slower pace and remains a minority of total EBITDA

new solar projects (Maple Leaf, Bear Branch, Hornet) are commissioned in 2026 and 2027, near term US renewable is not so bright due to war and the administration, keeping growth modest, CAGR 26-28 ~ 9% in line with management estimate

**Depreciation**

Modest increments in 2026–27 for the known projects (Arlington uprate, East Windsor + NC solar, remaining BESS ramp). See Depreciation & CapEx sheet

After 2031 assume constant depreciation as CapEx are now only maintenance

**Tax**

27% based on historical tax rate, income tax higher due to expected higher net income

**Dividend**

2%-4% to 2023, we expect growth to stay at 2% thereafter

# Appendix 2: Adj EBITDA estimates

| Financial Estimates - Base Case | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| $ (in millions) | 2025A | 2026F | 2027F | 2028F | 2029F | 2030F | 2031F | 2032F | 2033F | 2034F | 2035F |
| Adjusted EBITDA | | | | | | | | | | | |
| Canada flexible generation | 741 | 694 | 763 | 828 | 886 | 939 | 977 | 1,016 | 1,046 | 1,015 | 1,025 |
| % Growth | | -7% | 10% | 9% | 7% | 6% | 4% | 4% | 3% | -3% | 1% |
| Canada renewables | 111 | 125 | 145 | 150 | 159 | 169 | 177 | 182 | 186 | 190 | 192 |
| % Growth | | 11% | 14% | 6% | 6% | 6% | 5% | 3% | 2% | 2% | 1% |
| U.S. flexible generation | 775 | 891 | 1,007 | 1,118 | 1,219 | 1,316 | 1,421 | 1,450 | 1,406 | 1,434 | 1,449 |
| % Growth | | 15% | 13% | 11% | 9% | 8% | 8% | 2% | -3% | 2% | 1% |
| U.S. renewables | 103 | 100 | 105 | 124 | 134 | 139 | 145 | 149 | 152 | 155 | 157 |
| % Growth | | -3% | 5% | 18% | 8% | 4% | 4% | 3% | 2% | 2% | 1% |
| Corporate | (150) | (181) | (181) | (181) | (181) | (181) | (181) | (181) | (181) | (181) | (181) |
| *Adjusted EBITDA* | *1,580* | *1,629* | *1,840* | *2,039* | *2,216* | *2,382* | *2,539* | *2,616* | *2,609* | *2,613* | *2,641* |
| % Growth | | 3.1% | 12.9% | 10.8% | 8.7% | 7.5% | 6.6% | 3.0% | -0.2% | 0.1% | 1.1% |
| Depreciation and amortization | 580 | 592 | 600 | 635 | 670 | 705 | 740 | 740 | 740 | 740 | 740 |
| Unrealized fair value changes | 342 | -- | -- | -- | -- | -- | -- | -- | -- | -- | -- |
| Finance Expense | 307 | 365 | 365 | 365 | 365 | 300 | 300 | 300 | 300 | 300 | 300 |
| Foreign exchange losses/other | 184 | 184 | 184 | 184 | 184 | 184 | 184 | 184 | 184 | 184 | 184 |
| **Net income before taxes** | 167 | 488 | 691 | 855 | 997 | 1,193 | 1,315 | 1,392 | 1,385 | 1,389 | 1,417 |
| Income Tax recovery (expense) | 8 | 132 | 186 | 231 | 269 | 322 | 355 | 376 | 374 | 375 | 383 |
| *Net income after taxes* | 159 | *356* | *504* | *624* | *728* | *871* | *960* | *1,016* | *1,011* | *1,014* | *1,034* |
| Non-controlling interest | 1 | 31 | 31 | 31 | 31 | 31 | 31 | 31 | 31 | 31 | 31 |
| Preferred dividends | 28 | 28 | 28 | 28 | 28 | 28 | 28 | 28 | 28 | 28 | 28 |
| *Net income to common shareholders* | *132* | *359* | *507* | *627* | *731* | *874* | *963* | *1,019* | *1,014* | *1,017* | *1,037* |
| Weighted avg. shares O/S - basic | 150.5 | 155.8 | 155.8 | 155.8 | 155.8 | 155.8 | 155.8 | 155.8 | 155.8 | 155.8 | 155.8 |
| Weighted avg. shares O/S - diluted | 150.8 | 155.8 | 155.8 | 155.8 | 155.8 | 155.8 | 155.8 | 155.8 | 155.8 | 155.8 | 155.8 |
| Dividend per share | 2.69 | 2.77 | 2.86 | 2.98 | 3.10 | 3.22 | 3.29 | 3.35 | 3.42 | 3.49 | 3.56 |
| *% growth* | 6% | 3% | 3.5% | 4% | 4% | 4% | 2% | 2% | 2% | 2% | 2% |

# Appendix 3: DCF – Base case

| Base Case Discounted Cash Flow | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| $ (in millions) | 2025A | 2026F | 2027F | 2028F | 2029F | 2030F | 2031F | 2032F | 2033F | 2034F | 2035F | Terminal Value |
| Adj EBITDA | 1,580 | 1,629 | 1,840 | 2,039 | 2,216 | 2,382 | 2,539 | 2,616 | 2,609 | 2,613 | 2,641 | |
| Adjustments | (1,421) | (1,273) | (1,335) | (1,415) | (1,488) | (1,511) | (1,579) | (1,600) | (1,598) | (1,599) | (1,607) | |
| ***Net income*** | ***159*** | ***356*** | ***504*** | ***624*** | ***728*** | ***871*** | ***960*** | ***1,016*** | ***1,011*** | ***1,014*** | ***1,034*** | |
| D&A | 580 | 592 | 600 | 635 | 670 | 705 | 740 | 740 | 740 | 740 | 740 | |
| Change in WC | 7 | 10 | 18 | 20 | 22 | 24 | 25 | 26 | 26 | 26 | 26 | |
| Other timing items | 216 | 100 | 100 | 100 | 100 | 100 | 100 | 100 | 100 | 100 | 100 | |
| ***Net Cash Flow from Operation*** | 962 | 1,058 | 1,222 | 1,379 | 1,520 | 1,700 | 1,825 | 1,882 | 1,877 | 1,880 | 1,901 | |
| Interest paid | 304 | 310 | 316 | 323 | 329 | 329 | 329 | 329 | 329 | 329 | 329 | |
| Taxes 27% | 20 | 132 | 186 | 231 | 269 | 322 | 355 | 376 | 374 | 375 | 383 | |
| Distributions received from JVs | (66) | (120) | (120) | (120) | (120) | (120) | (220) | (220) | (220) | (220) | (220) | |
| Other timing items | (383) | (314) | (372) | (435) | (467) | (609) | (684) | (779) | (856) | (856) | (856) | |
| ***FFO*** | ***969*** | ***1,067*** | ***1,233*** | ***1,378*** | ***1,532*** | ***1,622*** | ***1,606*** | ***1,588*** | ***1,504*** | ***1,508*** | ***1,536*** | |
| *implied growth%* | | *10%* | *16%* | *12%* | *11%* | *6%* | *-1%* | *-1%* | *-5%* | *0%* | *1.9%* | |
| Less: Capital Expenditures | (238) | (290) | (296) | (302) | (308) | (314) | (320) | (327) | (323) | (320) | (317) | |
| Add: After tax interest cost | | 226 | 231 | 236 | 240 | 240 | 240 | 240 | 240 | 240 | 240 | |
| ***FCFF*** | | ***1,003*** | ***1,168*** | ***1,312*** | ***1,464*** | ***1,548*** | ***1,526*** | ***1,502*** | ***1,421*** | ***1,428*** | ***1,459*** | ***20,761*** |
| ***Discounted FCFF*** | | ***950*** | ***1,010*** | ***1,054*** | ***1,094*** | ***1,075*** | ***985*** | ***901*** | ***793*** | ***741*** | ***704*** | ***10,013*** |

# Appendix 4: DDM – Base Case

| Base Case DDM | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| $ (in millions) | 2025A | 2026F | 2027F | 2028F | 2029F | 2030F | 2031F | 2032F | 2033F | 2034F | 2035F |
| AFFO growth | 6% | 7% | 7% | 8% | 9% | 10% | 8% | 6% | 4% | 3% | 2.0% |
| Payout Rate | 38% | 40% | 40% | 40% | 40% | 40% | 45% | 50% | 55% | 60% | 65% |
| AFFO/share | 7.08 | 7.54 | 8.07 | 8.71 | 9.50 | 10.45 | 11.28 | 11.96 | 12.44 | 12.81 | 13.07 |
| DPS | 2.69 | 3.02 | 3.23 | 3.49 | 3.80 | 4.18 | 5.08 | 5.98 | 6.84 | 7.69 | 8.49 |
| **Cost of equity** | 10.8% | 10.8% | 10.8% | 10.8% | 10.8% | 10.8% | 10.8% | 10.8% | 10.8% | 10.8% | 10.8% |
| ***Present Value*** | | ***2.79*** | ***2.70*** | ***2.63*** | ***2.59*** | ***2.57*** | ***2.82*** | ***2.99*** | ***3.09*** | ***3.14*** | ***3.13*** |

Long-term guidance remains 2-4% annual increases, backed by 13-15% TSR targets through U.S. growth and 8-10% AFFO/share CAGR to 2030

# Appendix 5: YoY growth projections - SOTP

| *(In millions of Canadian Dollars)* Capital Power Corp. Segment EBITDA | 2023A | 2024A | 2025A | 2026E | 2027E | EV/EBITDA Multiple 2026 | Enterprise Value Per segment |
|---|---|---|---|---|---|---|---|
| Canada Flexible Generation (Gas, BESS) | | 729 | 741 | 756 | 771 | **12.09x** | 9,317 |
| YoY % | | | 1.6% | 2% | 2% | | |
| Canada Renewables | | 154 | 111 | 117 | 122 | **9.13x** | 1,117 |
| YoY % | | | -27.9% | 5% | 5% | | |
| U.S. Flexible Generation (Gas) | | 554 | 775 | 829 | 887 | **11.39x** | 10,106 |
| YoY % | | | 39.9% | 7% | 7% | | |
| U.S. Renewables | | 102 | 103 | 110 | 118 | **9.13x** | 1,077 |
| YoY % | | | 1% | 7% | 7% | | |
| Corporate | | -206 | -150 | -159 | -169 | **10.25x** | -1,728 |
| YoY % | | | -27.2% | 6% | 6% | | |
| **Adjusted EBITDA** | **1,455** | **1,333** | **1,580** | **1,653** | **1,730** | | |
| YoY % | | | 18.5% | 4.6% | 4.7% | | |

# Appendix 6: GARP Screener – Write up

The screener was run on the S&P 500 and S&P/TSX 60 universe using five years of annual data from LSEG. Stocks were first filtered for a minimum $10 share price, four complete years of fundamentals, positive EPS in both Y0 and Y3, and a valid GICS sector. Surviving stocks were scored across three dimensions, with all metrics winsorized and z-scored within each GICS sector to prevent sector differences from biasing rankings.

**Growth (45%):** Three-year EPS CAGR and three-year Sales Per Share CAGR, both z-scored within the sector and averaged into the Growth Score.
**Valuation (25%):** Trailing P/E, PEG ratio (Price/Earnings-to-Growth), and Earnings Yield (EPS/Price). Earnings Yield was used as the scoring metric because it behaves linearly, unlike P/E, which distorts near-zero earnings. Z-scored within sector to produce the Valuation Score.
**Quality (30%):** Four factors:
Gross Profitability, higher is better;

Asset Growth (YoY change in total assets, lower is better as companies aggressively expanding their asset base through acquisitions or large capital expenditure programs tend to destroy shareholder value over time, as management overinvests in low-return projects;

Accruals lower is better, as a large gap between reported net income and actual operating cash flow suggests earnings are being driven by accounting adjustments rather than real cash generation;

Share Issuance (YoY change in shares outstanding, lower is better, as when a company issues new shares, it dilutes existing shareholders' ownership stake; when it buys back shares, it returns value to them).

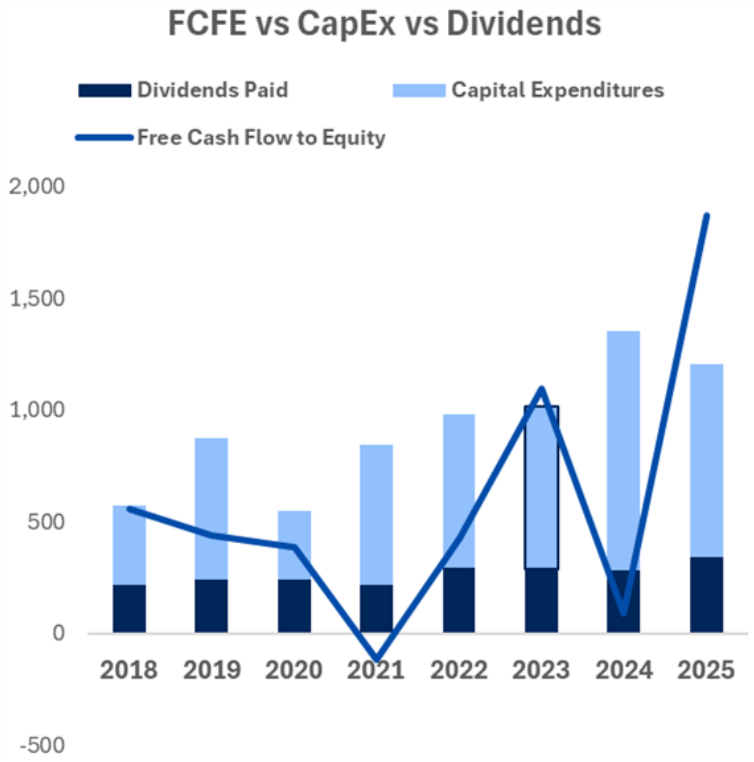
All four z-scored within sector and averaged into the Quality Score.
The composite Final Score (0.45 × Growth + 0.25 × Valuation + 0.30 × Quality) was used to rank stocks both across the full universe and within each sector.

# Appendix 7: Financial Analysis (con't)

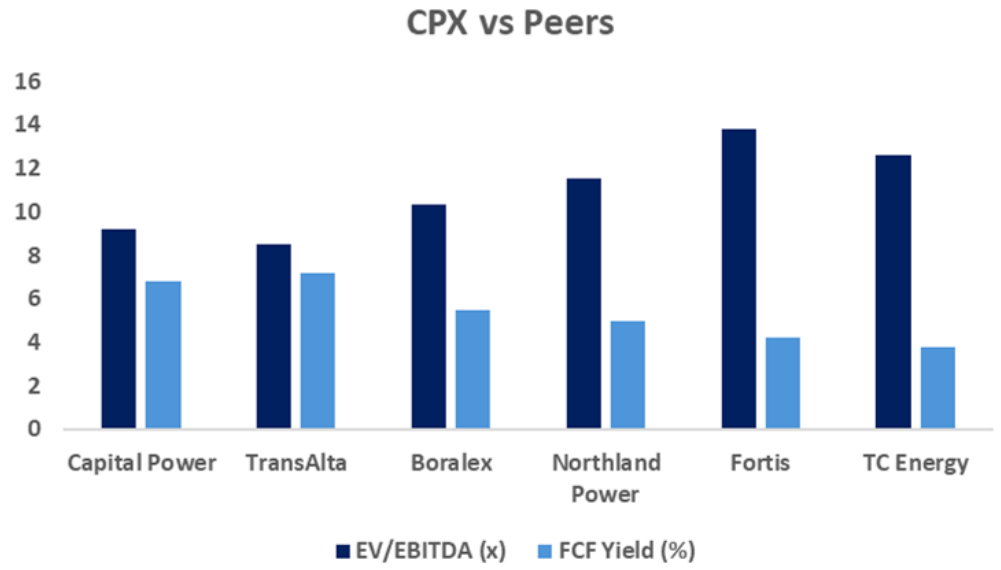
UR Investing

Relative Operating and Financial Performance

**CPX can keep growing dividend payout steadily even in times of high M&A CapEx**




**Relatively undervalued compared to peers, lower EBITDA and higher FCF yield**



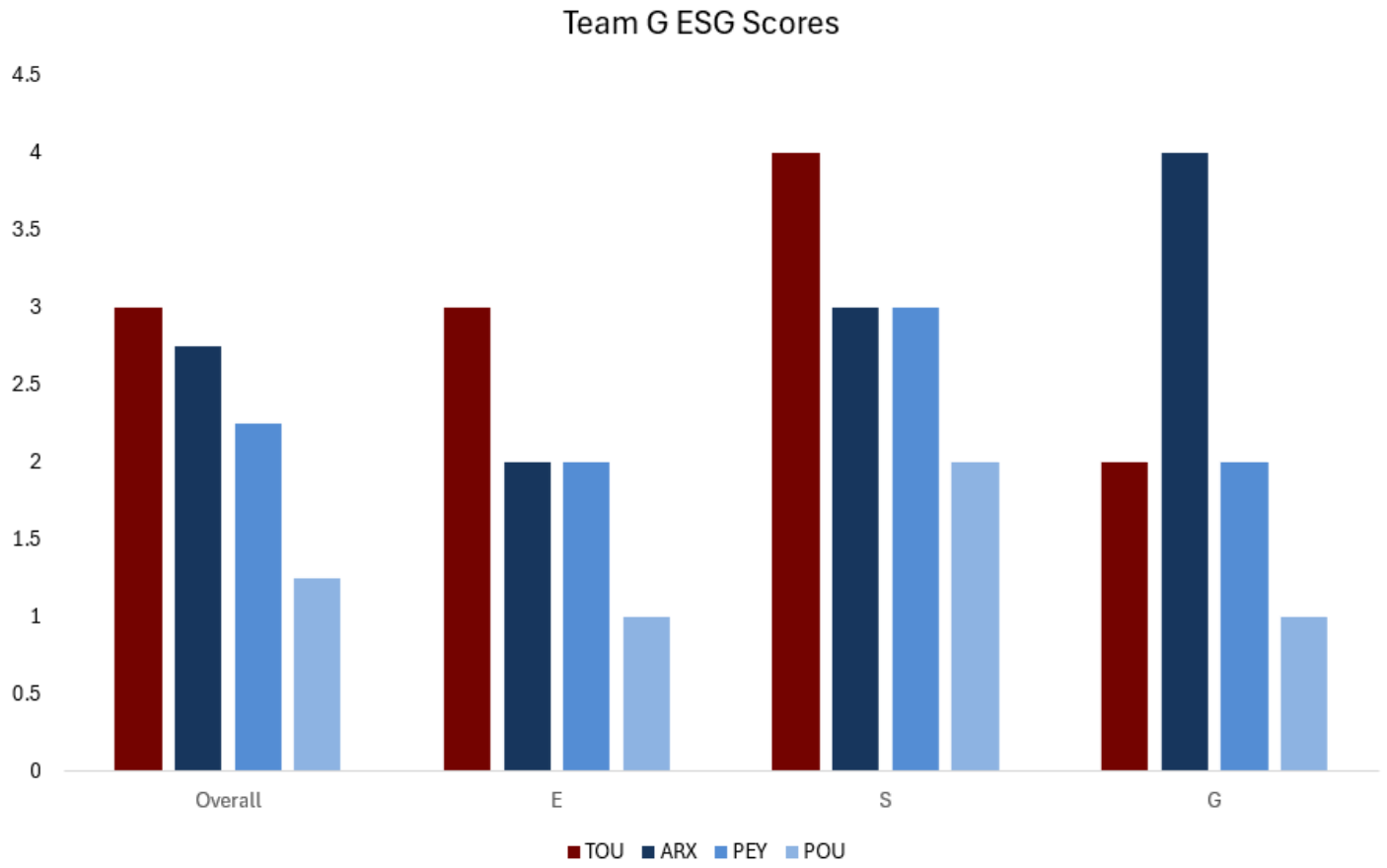

Source: Bloomberg, Financial Analysis

# Environmental, Social, and Governance

UR Investing

In terms of peers, TOU is a leader in most areas.

They remain transparent even when regulatory conditions make it unfavorable to do so.

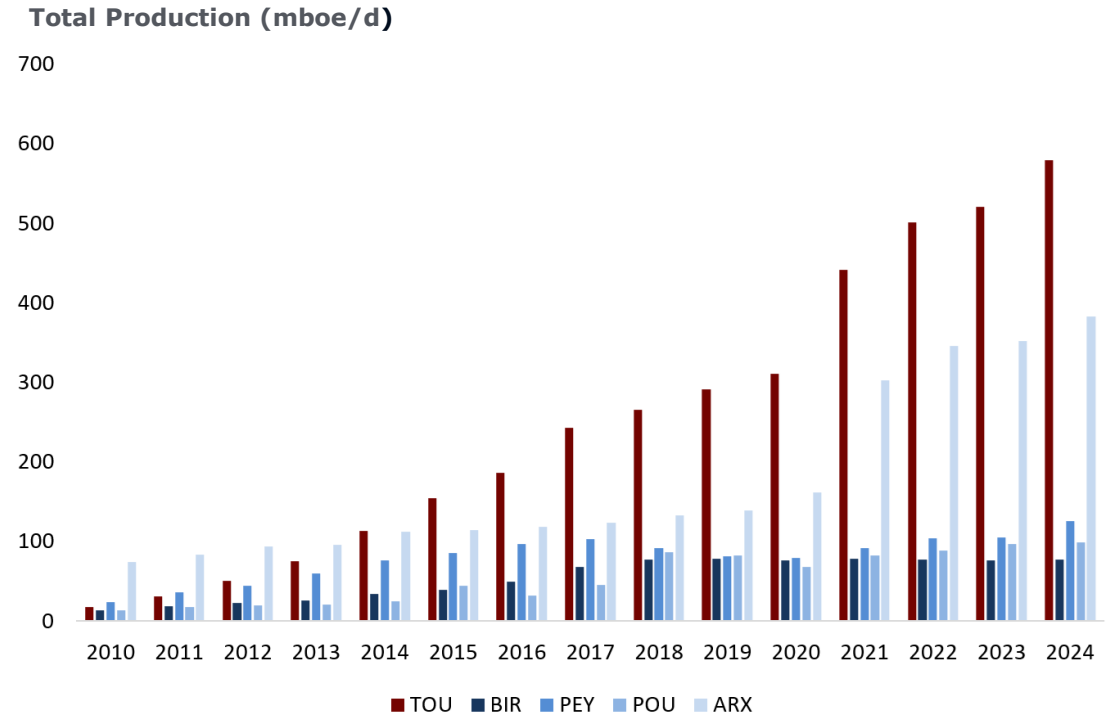


# ESG Analysis: Governance

UR Investing

## Experienced, long-tenured leadership underpins TOU's governance

**Management has demonstrated its ability to create value by growing the business into Canada's largest producer of natural gas and NGLs**

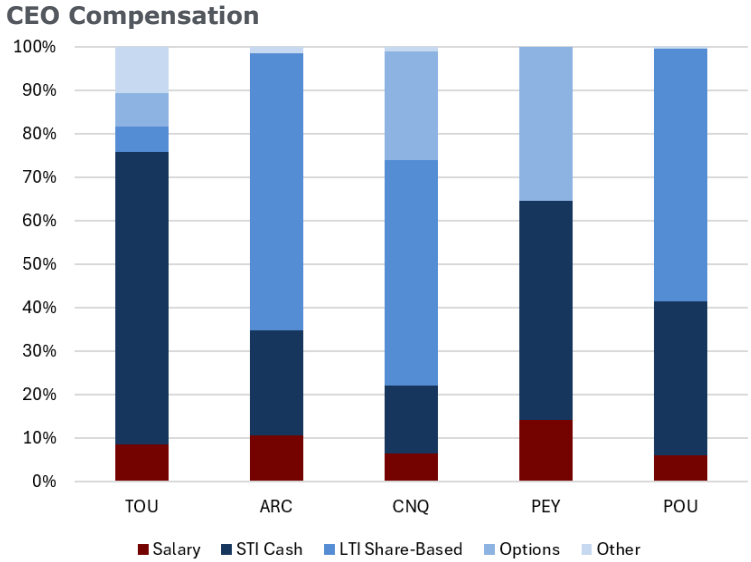





### Michael Rose, CEO

- 38+ years of experience in the Oil and Gas industry
- Previous CEO of Berkley Petroleum Corp. and Duvernay Oil Corp.
- Holds 4.46% of shares, and has purchased ~200,000 additional shares through open-market transactions in 2025

**Lower share-based incentives than peers, as insider ownership is already high**




Source: Bloomberg, Company Filings